

Subject Code	AF5647
Subject Title	Labor Economics
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	Prior knowledge in calculus, intermediate microeconomics, and econometrics is expected.
Objectives	This course contributes to Learning Outcome 1 by providing a thorough analysis of labor markets, focusing on both the theoretical and empirical aspects. It also aims to bridge core concepts in labor economics to other peripheral fields of study such as inequality, gender, and family economics. The ultimate objective is to expand the economic toolkits of students and prepare them to be able to apply economic thinking on real-world issues.
Intended Learning Outcomes	Upon completion of this course, students will: 1. gain a comprehensive understanding of modern labor economics 2. be equipped with the empirical skills to process and analyze data pertaining to labor economics and other applied economics fields 3. be able to apply knowledge in labor economics to analyze and evaluate broader economic issues, policies, and real-world affairs 4. be familiarized with the frontier research in the field of labor economics
Subject Synopsis/ Indicative Syllabus	1. Overview of the Labor Market 2. Labor Supply • Facts about labor supply • Choice between consumption and leisure • Intertemporal (life-cycle) labor supply • Extensive and intensive margins of labor supply • Estimation of labor supply curve and labor supply elasticity 3. Labor Demand • Micro-foundations of labor demand • Theory and empirics of production and cost functions • Elasticity of substitution • Automation, AI, and the future of employment • Adjustment costs

4. Labor Market Equilibrium

- Competitive labor market
- Non-competitive labor market: monopoly and monopsony
- Obstacles to perfect competition: imperfect information
- Basic model of job search
- Wage bargaining theory
- Efficiency wage theory

5. Compensating Wage Differentials and Labor Market Discrimination

- Hedonic theory of wages
- Compensating differentials and job amenities
- Industry and firm wage differentials
- Race and gender discrimination
- Statistical discrimination
- Experimental evidence on discrimination
- Affirmative action

6. Unemployment

- Cyclical and secular trends in employment, unemployment, and labor force
- Job creation and destruction
- Hysteresis of unemployment
- Unemployment and inflation: the Phillips Curve

7. Education and Human Capital

- Education and earnings
- Ben-Porath model of human capital accumulation
- Human capital production function
- Mincer regression: estimating the return to schooling
- On-the-job training
- Education as signaling

8. Labor Mobility

- Roy-Rosen Model
- Internal and international migration
- Impact of immigration on local labor market
- Bartik instrument
- Job, firm, and occupational mobility

	9. Labor Market Policies and Institutions • Labor unions • Minimum wage • Employment subsidies • Employment protection • Taxation and EITC 10. Wage Distribution and Inequality • The earnings distribution • The age-earnings profile • Sources of wage inequality • Inequality across generations 11. Applications in Gender and Family Economics • Labor supply of women • Gender wage gap • Household production and labor supply within the family • Becker-Tomes Model of intergenerational transmission • Intergenerational mobility																																																																						
Teaching/Learning Methodology	The primary mode of instruction is through 3-hour weekly lectures. Students are expected to self-study outside of class time by completing assigned readings and solving practice problems.																																																																						
Assessment Methods in Alignment with Intended Learning Outcomes	<table><tr><th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="6">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr><tr><th>(1)</th><th>(2)</th><th>(3)</th><th>(4)</th><th></th><th></th></tr><tr><td>Continuous Assessment</td><td>50%</td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Class Participation</td><td>5%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Problem sets</td><td>10%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Group Presentation and Written Report</td><td>35%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Final examination</td><td>50%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td></td><td></td><td colspan="6"></td></tr></table> Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes:	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)						(1)	(2)	(3)	(4)			Continuous Assessment	50%							Class Participation	5%	✓	✓	✓	✓			Problem sets	10%	✓	✓	✓	✓			Group Presentation and Written Report	35%	✓	✓	✓	✓			Final examination	50%	✓	✓	✓	✓																		
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Student Study Effort Expected	Class contact:	
	▪ Lectures	39 Hrs.
	Other student study effort:	
	▪ Consultation of textbook and references	39 Hrs.
	▪ Problem solving	39 Hrs.
	Total student study effort	117 Hrs.
Reading List and References	The required textbook is: - Borjas, George (2024). <i>Labor Economics (9th edition)</i>. McGraw Hill. *The lectures will primarily draw from the required textbook. Obtaining a copy of the book is mandatory for this class, as you will be responsible for readings outside of the classroom. <u>Additional textbook references, which we will occasionally consult, include:</u> - McLaughlin, Kenneth (2018). <i>Labor Economics: Principles in Practice (2nd edition)</i>. Oxford University Press. - Cahuc, Pierre, Stéphane Carcillo, and André Zylberberg (2014). <i>Labor Economics (2nd edition)</i>. MIT Press. <u>Academic references:</u> Blau, F. D., & Kahn, L. M. (2017). The Gender Wage Gap: Extent, Trends, and Explanations. <i>Journal of Economic Literature</i>, 55(3), 789-865. Borjas, G. J. (1987). Self-Selection and the Earnings of Immigrants. <i>American Economic Review</i>, 77(4), 531-553. Borjas, G. J. (2003). The Labor Demand Curve is Downward Sloping: Reexamining the Impact of Immigration on the Labor Market. <i>The Quarterly Journal of Economics</i>, 118(4), 1335-1374. Card, D., & Krueger, A. B. (1994). Minimum Wages and Employment: A Case Study of the Fast Food Industry in New Jersey and Pennsylvania. <i>American Economic Review</i>, 84(4), 772-793. Card, D. (2009). Immigration and Inequality. <i>American Economic Review</i>, 99, 1-21. Card, D. (2001). Immigrant Inflows, Native Outflows, and the Local Labor Market Impacts of Higher Immigration. <i>Journal of Labor Economics</i>, 19(1), 22-64. Card, D. (1999). The Causal Effect of Education on Earnings. <i>Handbook of Labor Economics</i>, 3, 1801-1863. Cunha, F., & Heckman, J. (2007). The Technology of Skill Formation. <i>American Economic Review</i>, 97(2), 31-47. Angrist, J. D., & Krueger, A. B. (1991). Does Compulsory School Attendance Affect Schooling and Earnings?. <i>The Quarterly Journal of Economics</i>, 106(4), 979-1014. Becker, G. S., & Tomes, N. (1979). An Equilibrium Theory of the Distribution of Income and Intergenerational Mobility. <i>Journal of Political Economy</i>, 87(6), 1153-1189. Katz, L. F., & Murphy, K. M. (1992). Changes in Relative Wages, 1963–1987: Supply and Demand Factors. <i>The Quarterly Journal of Economics</i>, 107(1), 35-78.	

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